

France's fiscal package would prevent the deficit from reaching 6.5% of GDP next year, but it would not stabilise public debt. With a difficult political process ahead, French bonds are likely to remain under pressure, while the threshold for ECB intervention remains high



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What is in the new budget?

France's minority government today presented its plans for the state budget (PLF), and a separate bill covering the financing of the social security system (PLFSS). The government aims to bring the public deficit back to 5% of GDP in 2027, after an expected increase from 5.1% in 2025 to 5.4% in 2026. Without corrective measures, the deficit would instead reach around 6.5% next year, as interest payments, pensions and other expenditure continue to rise.

The budget contains €43bn of measures compared with this no-policy-change scenario. Together with the growing impact of previous decisions, the total effort affecting the 2027 accounts would reach €54bn.

Much of the adjustment would come from higher revenues. The tax burden would rise from 43.9% to 44.2% of GDP through targeted measures affecting households and companies. These include a lower tax allowance for pensioners, changes to the taxation of sick leave and termination payments, fewer tax exemptions and stronger action against fraud. The surcharge on large companies would remain in place, while employers' social security reductions

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European criteria limiting the growth of so-called 'controllable' expenditure (at +0.7 per cent, the lowest rate of growth since 2017).

Even if fully implemented, the budget would only slow the deterioration. Public debt, already at 119% of GDP in mid-2026, is projected to reach 121.7% in 2027. A deficit of 5% would still be far too high to stabilise it.

A modified budget is the most likely outcome

The two bills must be formally filed at the National Assembly by 6 October, with the plenary debate scheduled to begin on 13 October. From the filing date, parliament has 70 days to complete the procedure for the state budget and 50 days for the social security budget. The main deadlines will therefore fall between late November and mid-December.

A straightforward parliamentary agreement appears unlikely given the absence of a stable majority. The more plausible route is that several weeks of negotiations produce a modified budget, but not enough support for a formal vote. The government could then use Article 49.3 of the constitution, which allows it to pass the bill

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The key question therefore is whether the opposition can assemble an absolute majority for censure. Both the Socialist Party and the Rassemblement National face a difficult choice. Bringing down the government would underline their opposition, but could prolong the uncertainty and leave the winner of the 2027 presidential election facing an even more urgent fiscal problem.

The RN currently appears inclined to avoid censure. According to *Le Monde*, it would prefer to enter 2027 with an imperfect budget that could later be amended rather than inherit no full budget and have to prepare an emergency one after the election. Crucially, the RN

and the Socialists do not need to support the budget. For them, it might look more comfortable to blame the current government for the austerity policies in the run-up to the presidential elections. Unless they unite behind the same no-confidence motion, the motion is unlikely to secure the required majority.

A modified budget is therefore likely to be adopted eventually, probably through Article 49.3 rather than a parliamentary vote. But before that, the coming weeks are likely to bring lengthy negotiations, amendments and shifting political positions.

Buying time, not solving the problem

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Charlotte de Montpellier

Bond spreads face further widening pressure as positive catalysts remain elusive

The budget plan marks a substantial effort towards fiscal consolidation. It may offer some temporary relief for spreads. But this is the government trying to convey the urgency of the situation – and bond markets will watch whether parliament takes notice or remains preoccupied with pre-election positioning.

Even taking into account some potential relief now, looking ahead we see spreads remaining in a range well above the 100bp level – more likely testing levels towards 150bp.

At the time of writing, the widely watched 10y OAT/bund spread has already topped 130bp. That is a 46bp widening since the start of September when the spread stood at 86bp. Picking out next target levels appears arbitrary at this point, as there are few anchors to hold on to. The next local highs were at 145bp, last seen during the sovereign debt crisis. The combination of increased volatility and a prolonged timeline of uncertainty is likely to keep the spread under widening pressure as it curbs investor appetite for

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the credit default swaps market. French 5y CDS spreads have widened by 36bp to 72bp since the start of September. In terms of dynamics, it slightly surpassed the pandemic impact, and we are now on par with levels last seen when Le Pen ran on a 'Frexit' platform in the 2017 elections.

It is important to add some perspective: the levels are only slightly above a range where Italy was traded from 2024 to early 2025 – and Italy's spread had spiked to above 250bp when the pandemic hit. But before markets can return to assessing France's pricing

relative to underlying fundamentals, we will likely need to see political stability first. A path that Italy has also shown.

Benjamin Schröder

Will the ECB step in?

The widening French spread raises the question of whether the ECB could intervene through its Transmission Protection Instrument (TPI). TPI allows the ECB to purchase securities issued by member states whose financing conditions have deteriorated for reasons not justified by country-specific fundamentals. However, before activating it, the Governing Council considers a cumulative set of

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in a difficult position. Intervening too quickly in support of France may be viewed unfavourably by other member states and interpreted as monetary financing of the debt of a country unwilling to follow the rules. That argues strongly against early intervention. Also, don't forget that the leadership changes at the ECB over the next months (Schnabel, Lane, Lagarde) could also affect how the ECB views TPI.

However, in any case, if turmoil in the French bond market spreads and drives up yields in other highly indebted member states, pressure on the ECB to act would increase. That action would not necessarily have to come through the TPI immediately. The ECB

could instead pause quantitative tightening temporarily and reinvest maturing bonds in its portfolio “flexibly”, sending a positive signal to bond markets. This had already happened during the Covid period. Still, the more contagion in eurozone bond markets, the higher the risk that markets will eventually force the ECB to start TPI.

Broader market stress would also affect the ECB’s interest rate policy. In a speech to the European Parliament’s Committee on Economic and Monetary Affairs this week, Christine Lagarde noted that “while growth has been resilient, since our last meeting long-term interest rates have risen notably, which will slow growth and

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